



CLARK SCHAEFER HACKETT
BUSINESS ADVISORS

Highland Computer Forms, Inc.

Financial Statements and Supplementary Information
December 31, 2022 and 2021
with Independent Accountants' Review Report

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INDEPENDENT ACCOUNTANTS' REVIEW REPORT

Stockholders
Highland Computer Forms, Inc.
Hillsboro, Ohio

We have reviewed the accompanying financial statements of Highland Computer Forms, Inc., which comprise the balance sheets as of December 31, 2022 and 2021, and the related statements of income, changes in stockholder's equity, and cash flows for the years then ended, and the related notes to the financial statements. A review includes primarily applying analytical procedures to management's financial data and making inquiries of company management. A review is substantially less in scope than an audit, the objective of which is the expression of an opinion regarding the financial statements as a whole. Accordingly, we do not express such an opinion.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of the financial statements that are free from material misstatement whether due to fraud or error.

Accountant's Responsibility

Our responsibility is to conduct the review engagements in accordance with Statements on Standards for Accounting and Review Services promulgated by the Accounting and Review Services Committee of the AICPA. Those standards require us to perform procedures to obtain limited assurance as a basis for reporting whether we are aware of any material modifications that should be made to the financial statements for them to be in accordance with accounting principles generally accepted in the United States of America. We believe that the results of our procedures provide a reasonable basis for our conclusion.

We are required to be independent of Highland Computer Forms, Inc. and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements related to our review.

Accountant's Conclusion

Based on our reviews, we are not aware of any material modifications that should be made to the accompanying financial statements in order for them to be in conformity with accounting principles generally accepted in the United States of America.

Supplementary Information

The supplementary information included on pages 14 - 25 is presented for purposes of additional analysis and is not a required part of the basic financial statements. Such information is the responsibility of management and was derived from, and relates directly to, the underlying accounting and other records used to prepare the financial statements. The supplementary information has been subjected to the review procedures applied in our review of the basic financial statements. We are not aware of any material modifications that should be made to the supplementary information. We have not audited the supplementary information and do not express an opinion on such information.

Clark, Schaefer, Hackett & Co.

Springfield, Ohio
February 20, 2023

Highland Computer Forms, Inc.
Balance Sheets
December 31, 2022 and 2021

Assets

	<u>2022</u>	<u>2021</u>
Current assets:		
Cash and cash equivalents	\$ 224,004	223,561
Accounts receivable, trade	1,173,453	1,138,864
Accounts receivable, other	-	1,545
Inventories	1,733,922	1,108,475
Employee retention credits receivable	1,352,277	1,352,277
Prepaid expenses	<u>5,804</u>	<u>4,863</u>
	<u>4,489,460</u>	<u>3,829,585</u>
Property, plant and equipment:		
Land	100,000	100,000
Buildings	500,000	500,000
Leasehold improvements	1,043,329	1,001,669
Machinery and equipment	6,638,006	6,638,006
Vehicles	149,313	127,387
Furniture, fixtures and office equipment	<u>209,970</u>	<u>209,970</u>
	8,640,618	8,577,032
Less accumulated depreciation	<u>6,642,059</u>	<u>6,381,778</u>
	1,998,559	2,195,254
Operating ROU assets	<u>22,269</u>	<u>-</u>
	<u>2,020,828</u>	<u>2,195,254</u>
Other assets:		
Cash value of life insurance	176,655	168,892
Deferred financing fees, net	-	20,806
Goodwill	10,000	10,000
Deposits	<u>20,523</u>	<u>9,913</u>
	<u>207,178</u>	<u>209,611</u>
	<u>\$ 6,717,466</u>	<u>6,234,450</u>

See independent accountants' review report and notes to financial statements.

Highland Computer Forms, Inc.
Balance Sheets (continued)
December 31, 2022 and 2021

Liabilities and Stockholder's Equity

	<u>2022</u>	<u>2021</u>
Current liabilities:		
Line of credit	\$ 700,000	548,922
Long-term debt, current portion	17,991	17,201
Finance lease, current portion	8,667	8,154
Operating lease, current portion	14,698	-
Paycheck Protection Program loan	-	688,137
Accounts payable, trade	1,181,015	643,491
Accrued payroll and related costs	328,523	346,244
Accrued rent, affiliates	105,500	140,500
Accrued taxes	44,827	41,624
Customer deposits	-	73,860
Accrued interest	3,296	-
	<u>2,404,517</u>	<u>2,508,133</u>
Long-term debt:		
Note payable, affiliate	193,786	193,786
Long-term debt, net of current portion	433,924	451,915
Finance lease, net of current portion	1,500	10,164
Operating lease, net of current portion	7,571	-
	<u>636,781</u>	<u>655,865</u>
Stockholder's equity:		
Common stock, 500 shares authorized, 499 shares issued and outstanding	1,000	1,000
Additional paid-in capital	549,000	549,000
Retained earnings	3,126,168	2,520,452
	<u>3,676,168</u>	<u>3,070,452</u>
	<u>\$ 6,717,466</u>	<u>6,234,450</u>

See independent accountants' review report and notes to financial statements.

Highland Computer Forms, Inc.
Statements of Income
Years Ended December 31, 2022 and 2021

	<u>2022</u>	<u>2021</u>
Sales, net	\$ 11,896,650	10,887,150
Other income	<u>388,325</u>	<u>279,481</u>
Net revenue	12,284,975	11,166,631
Cost of goods sold	<u>9,969,795</u>	<u>9,333,986</u>
Gross profit	2,315,180	1,832,645
Operating expenses	<u>1,706,080</u>	<u>1,568,272</u>
Income from operations	<u>609,100</u>	<u>264,373</u>
Other income (expense):		
Interest expense	(121,245)	(88,472)
Debt forgiven	688,137	862,310
Employee retention credits	-	1,352,277
Gain on disposal of fixed assets	<u>-</u>	<u>1,500</u>
	<u>566,892</u>	<u>2,127,615</u>
Net income	\$ <u><u>1,175,992</u></u>	<u><u>2,391,988</u></u>

See independent accountants' review report and notes to financial statements.

Highland Computer Forms, Inc.
Statements of Changes in Stockholder's Equity
Years Ended December 31, 2022 and 2021

	<u>Common Stock</u>	<u>Additional Paid-In Capital</u>	<u>Retained Earnings</u>	<u>Total</u>
Balance, January 1, 2021	\$ 1,000	549,000	251,027	801,027
Distributions	-	-	(122,563)	(122,563)
Net income	<u>-</u>	<u>-</u>	<u>2,391,988</u>	<u>2,391,988</u>
Balance, December 31, 2021	1,000	549,000	2,520,452	3,070,452
Distributions	-	-	(570,276)	(570,276)
Net income	<u>-</u>	<u>-</u>	<u>1,175,992</u>	<u>1,175,992</u>
Balance, December 31, 2022	\$ <u>1,000</u>	<u>549,000</u>	<u>3,126,168</u>	<u>3,676,168</u>

See independent accountants' review report and notes to financial statements.

Highland Computer Forms, Inc.
Statements of Cash Flows
Years Ended December 31, 2022 and 2021

	<u>2022</u>	<u>2021</u>
Cash flows from operating activities:		
Net income	\$ 1,175,992	2,391,988
Adjustments to reconcile net income to net cash from operating activities:		
Depreciation and amortization	281,535	289,839
Provision for doubtful accounts	57	5,840
Gain on disposal of fixed assets	-	(1,500)
Debt forgiven	(688,137)	(862,310)
Employee retention credits	-	(1,352,277)
Change in cash value of life insurance	(7,763)	(8,018)
Effects of changes in assets and liabilities:		
Accounts receivable	(33,101)	(278,698)
Inventories	(625,447)	(475,640)
Prepaid expenses	(941)	(340)
Accounts payable	537,524	(114,892)
Accrued expenses	(46,222)	116,277
Customer deposits	(73,860)	73,860
Net cash from operating activities	<u>519,637</u>	<u>(215,871)</u>
Cash flows from investing activities:		
Proceeds from sale of property and equipment	-	1,500
Purchase of property and equipment	(64,034)	(163,177)
Net change in deposits	<u>(10,610)</u>	<u>(1,425)</u>
Net cash from investing activities	<u>(74,644)</u>	<u>(163,102)</u>
Cash flows from financing activities:		
Net proceeds (payments) on line of credit	151,078	(184,648)
Proceeds from PPP loan	-	688,137
Principal payments on long-term debt	(17,201)	(16,444)
Payments on capital obligations	(8,151)	(7,667)
Distributions	<u>(570,276)</u>	<u>(122,563)</u>
Net cash from financing activities	<u>(444,550)</u>	<u>356,815</u>
Increase in cash and cash equivalents	443	(22,158)
Cash and cash equivalents, beginning of year	<u>223,561</u>	<u>245,719</u>
Cash and cash equivalents, end of year	\$ <u>224,004</u>	<u>223,561</u>

See independent accountants' review report and notes to financial statements.

1. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:

The following accounting principles and practices of the Company are set forth to facilitate the understanding of data presented in the financial statements:

Company Activities

Highland Computer Forms, Inc. (Company) is a manufacturer of single and multiple part continuous computer paper and business forms. The Company operates manufacturing plants in Ohio and Indiana.

Use of Estimates

The preparation of these financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent liabilities at the date of the financial statements and reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

New Accounting Standard

In February 2016, the FASB issued ASU 2016-02, Leases (Topic 842), which supersedes existing guidance for accounting for leases under Topic 840, Leases. The FASB also subsequently issued the following additional ASUs, which amend and clarify Topic 842: ASU 2018-01, Land Easement Practical Expedient for Transition to Topic 842; ASU 2018-10, Codification Improvements to Topic 842, Leases; ASU 2018-11, Leases (Topic 842): Targeted Improvements; ASU 2018-20, Narrow-scope Improvements for Lessors; and ASU 2019-01, Leases (Topic 842): Codification Improvements. The most significant change in the new leasing guidance is the requirement to recognize right-to-use (ROU) assets and lease liabilities for operating leases on the balance sheet.

The Company elected to adopt these ASUs effective January 1, 2022. The Company also elected multiple practical expedients. These included transition elections that permitted the Company to not reassess prior conclusions about lease identification, lease classification, and initial direct costs for existing or expired leases, as well as not assessing existing land easements under the new standard. In addition, the Company adopted ongoing accounting policies to not recognize right-of-use ("ROU") assets and lease liabilities for leasing arrangements with terms of less than one year and to not separate lease and non-lease components for all classes of underlying assets other than transportation equipment. The adoption had a material impact on the Company's balance sheet but did not have a material impact on the income statement. The most significant impact was the recognition of ROU assets and lease liabilities for operating leases. The accounting for finance leases remained substantially unchanged. Upon adoption, the Company recognized operating lease right-of-use assets of \$99,130 and corresponding operating lease liabilities of \$36,392.

Cash and Cash Equivalents

For purposes of the statements of cash flows, instruments that have an original maturity of three months or less are classified as cash equivalents. Cash paid for interest during 2022 and 2021 amounted to \$117,949 and \$88,472, respectively.

Accounts Receivable

The Company extends unsecured credit to its customers in the ordinary course of business but mitigates the associated credit risk by performing credit checks and actively pursuing past due accounts. All accounts are considered collectible at December 31, 2022 and 2021 and therefore an allowance for doubtful accounts was deemed unnecessary.

Inventories

Inventories of raw material and supplies are valued at the lower of net realizable value or cost as determined under the first-in, first-out method (FIFO). Production runs of the various forms produced by the Company are generally of short duration; therefore, the Company does not capture, or price, in-process inventories. Inventories of finished goods are valued at a fixed percentage of Company's current distributors' price by product. The Company's management is of the opinion that this method approximates the fully burdened cost of the inventory on a FIFO basis.

Goodwill

Goodwill is recognized for the excess of the purchase price over the fair value of tangible and identifiable intangible net assets of businesses acquired. Goodwill reflected on the balance sheets represents the cost of purchased goodwill related to the acquisition of Pummill Business Forms, Inc. in 2010. Generally accepted accounting principles require that the unamortized value of purchased goodwill be evaluated annually to determine whether the amount reported on the balance sheet as an asset has been impaired. In management's opinion, there has been no impairment to the value of recorded goodwill during the years ended December 31, 2022 and 2021.

Property, Plant, Equipment and Depreciation

Property and equipment are carried on the balance sheet at cost. Provisions for depreciation deducted in the statements of income were computed using the straight-line method. Routine maintenance and repairs and minor replacement costs are charged to expense as incurred. The undepreciated cost of equipment sold, net of related proceeds, is included in other income (expense).

Revenue Recognition

The Company derives its revenues primarily from the sale of computer forms and other paper products. Revenues are recognized when control of these products is transferred to its customers at a point in time, in an amount that reflects the consideration the Company expects to be entitled to in exchange for those products and services. Sales and other taxes the Company collects concurrent with revenue-producing activities are excluded from revenue. Shipping and handling fees charged to customers are reported within revenue. Incidental items that are immaterial in the context of the contract are recognized as expense. The Company does not have any significant financing components as payment is received at or shortly after the point of sale. Costs incurred to obtain a contract will be expensed as incurred when the amortization period is less than a year.

Leases

The Company considers an arrangement a lease if, at inception, the arrangement transfers the right to control the use of an identified asset for a period of time in exchange for consideration. Control is defined under ASC 842 as having both the right to obtain substantially all of the economic benefits from use of the asset and the right to direct the use of the asset. Management only reassesses its determination if the terms and conditions of the contract are changed.

Operating leases are included in operating lease right-of-use ("ROU") assets, other current liabilities, and operating lease liabilities in our balance sheets. Finance leases are included in property and equipment, other current liabilities, and other long-term liabilities in our balance sheets.

The lease term reflects the noncancellable period of the lease together with periods covered by an option to extend or terminate the lease when management is reasonably certain that it will exercise such option. The Company uses the risk free rate for a period of time similar to the lease term, determined at the lease commencement date, in determining the present value of lease payments. The risk free rate is used as the information necessary to determine the rate implicit in the lease and the Company's incremental borrowing rate is not readily available. Lease expense for operating leases is recognized on a straight-line basis over the lease term. Short-term leases are less than one year without purchase or renewal options that are reasonably certain to be exercised and are recognized on a straight-line basis over the lease term. The right-of-use asset is tested for impairment in accordance with ASC 360.

Income Taxes

The Company is not a taxpaying entity. The owners are liable for the tax relating to the operations of the entity. Accordingly, no provision for income taxes has been reflected in these financial statements.

Subsequent Events

The Company evaluates events and transactions occurring subsequent to the date of the financial statements for matters requiring recognition or disclosure in the financial statements. The accompanying financial statements consider events through February 20, 2023, the date on which the financial statements were available to be issued.

2. FAIR VALUE MEASUREMENTS:

The Company measured the cash surrender value of life insurance contracts at the reporting date using Level 2 measurements which include significant other observable inputs. Fair values for assets in Level 2 are calculated using quoted market prices for similar assets in markets that are not active. The fair value of the cash surrender value at December 31, 2022 and 2021 amounted to \$176,655 and \$168,892, respectively. There were no changes in the valuation techniques and no transfers between levels during 2022 and 2021.

3. INVENTORIES:

The following summarizes the Company's inventories at December 31:

	<u>2022</u>	<u>2021</u>
Raw Materials	\$ 1,419,125	861,275
Finished Goods	235,974	133,508
Other	<u>78,823</u>	<u>113,692</u>
	<u>\$ 1,733,922</u>	<u>1,108,475</u>

4. LINE OF CREDIT:

On December 20, 2019, the Company obtained a revolving line of credit with a maximum borrowing limit of \$2,000,000. Interest on the credit line is payable monthly at LIBOR rate plus 6.00%. The line of credit is secured by virtually all Company assets and personal guaranties of the Company's stockholders. The line was due December 2022.

On December 14, 2022, the Company obtained a revolving line of credit with a maximum borrowing limit of \$700,000. Interest on the credit line is payable monthly at Prime rate plus 1.00%. The line of credit is secured by virtually all Company assets and personal guaranties of the Company's stockholders. The line is due December 2023.

5. NOTES PAYABLE:

The Company's term debt outstanding at December 31 consisted of the following:

	<u>2022</u>	<u>2021</u>
\$500,000 note payable in monthly installments of \$3,163 including interest at 4.50% through December 2040. Secured by mortgage and a personal guarantee of the Company's stockholders.	\$ 451,915	469,116
Less current portion	<u>17,991</u>	<u>17,201</u>
Long term portion	\$ <u>433,924</u>	<u>451,915</u>

Principal payments for subsequent years are as follows:

2023	\$ 17,991
2024	18,817
2025	19,682
2026	20,758
2027	21,532
Thereafter	<u>335,144</u>
	\$ <u>433,924</u>

6. LEASE AGREEMENTS:

The Company's leases certain real estate and office equipment. The Company's lease agreements do not contain any material residual value guarantees or material restrictive covenants. Variable lease payments are excluded from the right-of-use asset and lease liabilities and are expensed as incurred.

The Company's finance leases consist of an agreement to lease office equipment through IBM lease company. The lease is through April 2024 and provides for monthly lease payments of \$754. The Company's operating leases consist of an agreement to lease office space in Iowa from ND 25 W Park Building LLC. The lease is through June 2024 and provides for monthly lease payments of \$1,273.

For the year ended December 31, 2022, the Company had the following recorded in operating expenses associated with lease arrangements:

	<u>2022</u>
Finance lease cost:	
Amortization of right-of-use assets	\$ 8,655
Interest on lease liabilities	624
Operating lease expense	<u>15,270</u>
	\$ <u>25,549</u>

Rent expense for operating leases under ASC 840 - Leases was \$33,229 for the year ended December 31, 2021.

The following is an analysis of maturities of lease liabilities as of December 31:

	<u>Finance</u>	<u>Operating</u>
2023	\$ 9,049	15,270
2024	<u>3,016</u>	<u>7,635</u>
	12,066	22,905
Less imputed interest	<u>(1,899)</u>	<u>(636)</u>
Total lease liability	\$ <u>10,167</u>	<u>22,269</u>

Non-cash lease expense on the statement of cash flows includes the amortization of the lease right-of-use asset of \$8,655 for the year ended December 31, 2022. Lease payments within operating activities were \$24,319 for the year ended December 31, 2022.

7. OPERATING LEASES, SHORT TERM, RELATED PARTIES:

The Company is obligated under an agreement to lease a manufacturing facility and office space in Ohio from Fordyce Acquisition Group (owned by certain officers and employees of the Company). The lease is on a month to month basis and provides for monthly rentals of \$3,300. Accounts payable to Fordyce amounted to \$77,500 for years ended December 31, 2022 and 2021. Rent expense under this lease amounted to \$39,600 for the years ended December 31, 2022 and 2021.

The Company is obligated under an agreement to lease a manufacturing facility and office space in Indiana from P&J Leasing, whose sole owner is a former shareholder of the Company. The lease is on a month to month basis and provides for monthly rentals of \$7,000. Accounts payable P&J Leasing amounted to \$28,000 and \$63,000 for years ended December 31, 2022 and 2021, respectively. Rent expense under this lease amounted to \$84,000 for the years ended December 31, 2022 and 2021.

8. NOTE PAYABLE, AFFILIATE:

The Company has a note payable to an affiliated partnership through prior common ownership. The balance of the note arose through payments financed due to unpaid lease payments. The note bears no rate of interest, is unsecured and is due upon demand. Since no payments are expected within the next twelve months, the note balance has been presented as long term on the balance sheet. The balance on the note payable amounted to \$193,786 on December 31, 2022 and 2021.

9. PAYCHECK PROTECTION PROGRAM LOAN:

During 2021 and 2020, The Company received loans in the amount of \$688,137 and \$862,310, respectively, under the Paycheck Protection Program (PPP) administered by the Small Business Administration (SBA). The loans are uncollateralized and are fully guaranteed by the Federal government. The loans are due over a term of 24 months and bear interest at a rate of 1%. In accordance with provisions of the loans, amounts may be forgiven based upon certain criteria. During 2021, the loan in the amount of \$862,310 was forgiven and is recorded as debt forgiven on the income statement. During 2022, the loan in the amount of \$688,137 was forgiven and is recorded as debt forgiven on the income statement.

10. EMPLOYEE RETENTION CREDIT:

The Employee Retention Credit was established by the Coronavirus Aid, Relief and Economic Security (CARES) Act. The Act was intended to help businesses retain their workforces and avoid layoffs during the coronavirus pandemic. It provides a per employee credit to eligible businesses based on a percentage of qualified wages and health insurance benefits paid to employees. It works as a refundable payroll tax credit claimed quarterly, and it can provide reductions to payroll taxes or cash refunds. The Company qualifies for the tax credit under the CARES Act and has recorded a credit receivable in the amount of \$1,352,277 as of December 31, 2021. The Company has filed the appropriate paperwork with the Internal Revenue Service and received the credit during January 2023.

11. CASH VALUES OF LIFE INSURANCE:

The Company maintains key-man life insurance policies on certain officers and employees. Under key-man insurance, the Company pays the premiums and receives, upon termination of the policy or the death of the insured, the cash surrender value of the policy. The insured designates a beneficiary to receive the balance of the benefits paid.

12. RETIREMENT PLAN:

The Company has a savings and retirement plan under Section 401(k) of the Internal Revenue Code. The plan allows employees to defer up to the maximum percentage of compensation and dollar amount permissible under section 402(g) of the IRC not to exceed the limits of code sections 401(k), 404 and 415. The Company, at management's discretion, may also contribute to the Plan. The total charge against income for the Company's discretionary contributions to the plan was \$72,842 and \$61,129 during 2022 and 2021 respectively.

13. CONCENTRATIONS:

The Company maintains its cash accounts in financial institutions where balances may have exceeded Federal Deposit Insurance Corporations (FDIC) limits at various times during the years ended December 31, 2022 and 2021. The Company has not experienced any losses on such accounts.

14. BUSINESS PURCHASE AGREEMENTS:

During 2021, the Company executed a business purchase agreement with The F.P. Horak Company (seller) to purchase certain business assets consisting mainly of a list of customers that purchase goods and services from the seller. In consideration for the purchased assets the Company shall pay earn-out payments to the seller consisting of 5% of the Company's gross sales made to the business customers for thirty-eight months initiating post-closing August 4, 2021. Earn out payments are recorded as a rebate at the time of sale.

During 2022, the Company executed a business purchase agreement with Dupli-Systems Inc. (seller) to purchase certain business assets consisting mainly of a list of customers that purchase goods and services from the seller. In consideration for the purchased assets the Company shall pay earn-out payments to the seller consisting of 9% of the Company's gross sales made to the business customers for thirty-six months initiating post-closing February 23, 2022. Earn out payments are recorded as a rebate at the time of sale.

Highland Computer Forms, Inc.
Schedules of Cost of Goods Sold
Years Ended December 31, 2022 and 2021

	<u>2022</u>	<u>2021</u>
Beginning inventories	\$ 1,108,475	683,140
Purchases and other costs:		
Paper	5,780,557	4,920,814
Production and collator wages	1,276,513	1,235,110
Indirect labor	594,797	563,755
Health insurance	491,729	393,068
Supplies	385,041	369,483
Utilities	263,388	253,327
Cartons	267,861	205,064
Payroll taxes	238,780	198,502
Supervisors' salaries	229,257	198,693
Buyouts and outside purchases	204,183	502,119
Equipment depreciation	197,198	208,008
Lease	160,857	156,829
Repairs and maintenance	153,002	194,317
Plates and negatives	130,388	121,256
Ink	116,856	125,195
Shipping wages	97,494	100,963
Retirement plan expenses	49,590	39,566
Envelopes	40,827	44,298
Carbon products	10,241	2,163
Net freight expense	9,758	21,283
Truck expenses	2,184	111
Materials	1,910	4,936
Vehicle depreciation	1,462	1,538
Copy paper	92	135
Purchase discounts	<u>(108,723)</u>	<u>(101,212)</u>
Total goods available for sale	11,703,717	10,442,461
Less ending inventories	<u>(1,733,922)</u>	<u>(1,108,475)</u>
Cost of goods sold	\$ <u><u>9,969,795</u></u>	<u><u>9,333,986</u></u>

See independent accountants' review report.

Highland Computer Forms, Inc.
Schedules of Operating Expenses
Years Ended December 31, 2022 and 2021

	<u>2022</u>	<u>2021</u>
Office salaries	\$ 775,051	683,480
Insurance	144,638	102,067
Professional fees	120,304	197,814
Administrative salaries	119,896	115,656
General taxes	96,595	44,146
Bank and payroll service charges	76,547	99,350
Caretaking expenses	76,067	61,535
Depreciation	61,621	59,486
Payroll taxes	51,840	48,608
Office supplies	34,422	27,868
Telephone and internet	33,368	38,805
Advertising	25,516	-
Travel and entertainment	24,710	25,364
Office repairs and maintenance	24,119	9,935
Retirement plan expenses	23,252	21,563
Employee relations	8,928	12,153
Postage	5,884	1,544
Training and education	1,834	3,033
Selling expenses	571	129
Dues and subscriptions	458	459
Charitable contributions	241	566
Bad debt expense	57	5,840
Employee bonuses	-	8,815
Miscellaneous expenses	<u>161</u>	<u>56</u>
	\$ <u><u>1,706,080</u></u>	<u><u>1,568,272</u></u>

See independent accountants' review report.

Highland Computer Forms, Inc.
Divisional Balance Sheets
December 31, 2022

Assets

	HCF Division	G. Fordyce Division	Eliminating Entries	Total
Current assets:				
Cash and cash equivalents	\$ 113,938	110,066	-	224,004
Accounts receivable, trade	1,162,502	10,951	-	1,173,453
Accounts receivable, other	13,420	-	(13,420)	-
Inventories	1,733,922	-	-	1,733,922
Employee retention credits receivable	1,352,277	-	-	1,352,277
Prepaid expenses	5,804	-	-	5,804
	<u>4,381,863</u>	<u>121,017</u>	<u>(13,420)</u>	<u>4,489,460</u>
Property, plant and equipment:				
Land	100,000	-	-	100,000
Buildings	500,000	-	-	500,000
Leasehold improvements	1,001,669	41,660	-	1,043,329
Machinery and equipment	6,638,006	-	-	6,638,006
Vehicles	149,313	-	-	149,313
Furniture, fixtures and office equipment	209,970	-	-	209,970
	<u>8,598,958</u>	<u>41,660</u>	<u>-</u>	<u>8,640,618</u>
Less accumulated depreciation	<u>6,639,871</u>	<u>2,188</u>	<u>-</u>	<u>6,642,059</u>
	<u>1,959,087</u>	<u>39,472</u>	<u>-</u>	<u>1,998,559</u>
Operating ROU assets	<u>22,269</u>	<u>-</u>	<u>-</u>	<u>22,269</u>
	<u>1,981,356</u>	<u>39,472</u>	<u>-</u>	<u>2,020,828</u>
Other assets:				
Cash value of life insurance	176,655	-	-	176,655
Goodwill	10,000	-	-	10,000
Deposits	<u>20,523</u>	<u>-</u>	<u>-</u>	<u>20,523</u>
	<u>207,178</u>	<u>-</u>	<u>-</u>	<u>207,178</u>
	<u>\$ 6,570,397</u>	<u>160,489</u>	<u>(13,420)</u>	<u>6,717,466</u>

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Liabilities and Stockholder's Equity

	HCF Division	G. Fordyce Division	Eliminating Entries	Total
Current liabilities:				
Line of credit	\$ 700,000	-	-	700,000
Long-term debt, current portion	17,991	-	-	17,991
Finance lease, current portion	8,667	-	-	8,667
Operating lease, current portion	14,698	-	-	14,698
Accounts payable, trade	1,181,015	13,420	(13,420)	1,181,015
Accrued payroll and related costs	328,523	-	-	328,523
Accrued rent, affiliates	105,500	-	-	105,500
Accrued taxes	44,827	-	-	44,827
Accrued interest	3,296	-	-	3,296
	<u>2,404,517</u>	<u>13,420</u>	<u>(13,420)</u>	<u>2,404,517</u>
Long-term debt:				
Note payable, affiliate	193,786	-	-	193,786
Long-term debt, net of current portion	433,924	-	-	433,924
Finance lease, net of current portion	1,500	-	-	1,500
Operating lease, net of current portion	7,571	-	-	7,571
	<u>636,781</u>	<u>-</u>	<u>-</u>	<u>636,781</u>
Stockholder's equity:				
Common stock	1,000	-	-	1,000
Additional paid-in capital	549,000	-	-	549,000
Retained earnings	2,979,099	147,069	-	3,126,168
	<u>3,529,099</u>	<u>147,069</u>	<u>-</u>	<u>3,676,168</u>
	<u>\$ 6,570,397</u>	<u>160,489</u>	<u>(13,420)</u>	<u>6,717,466</u>

Highland Computer Forms, Inc.
Divisional Income Statements
Year Ended December 31, 2022

	<u>HCF Division</u>	<u>G. Fordyce Division</u>	<u>Eliminating Entries</u>	<u>Total</u>
Sales, net	\$ 11,681,336	218,974	(3,660)	11,896,650
Other income	<u>388,325</u>	<u>-</u>	<u>-</u>	<u>388,325</u>
Net revenue	12,069,661	218,974	(3,660)	12,284,975
Cost of goods sold	<u>9,720,705</u>	<u>252,750</u>	<u>(3,660)</u>	<u>9,969,795</u>
Gross profit	2,348,956	(33,776)	-	2,315,180
Operating expenses	<u>1,701,425</u>	<u>4,655</u>	<u>-</u>	<u>1,706,080</u>
Income from operations	<u>647,531</u>	<u>(38,431)</u>	<u>-</u>	<u>609,100</u>
Other income (expense):				
Interest expense	(121,245)	-	-	(121,245)
Debt forgiven	<u>688,137</u>	<u>-</u>	<u>-</u>	<u>688,137</u>
	<u>566,892</u>	<u>-</u>	<u>-</u>	<u>566,892</u>
Net income	\$ <u><u>1,214,423</u></u>	<u><u>(38,431)</u></u>	<u><u>-</u></u>	<u><u>1,175,992</u></u>

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Highland Computer Forms, Inc.
Divisional Schedules of Cost of Goods Sold
Year Ended December 31, 2022

	HCF Division	G. Fordyce Division	Eliminating Entries	Total
Beginning inventories	\$ 1,107,863	612	-	1,108,475
Purchases and other costs:				
Paper	5,780,557	-	-	5,780,557
Production and collator wages	1,144,403	132,110	-	1,276,513
Indirect labor	594,797	-	-	594,797
Health insurance	491,729	-	-	491,729
Supplies	381,473	3,568	-	385,041
Cartons	267,861	-	-	267,861
Utilities	263,388	-	-	263,388
Payroll taxes	238,780	-	-	238,780
Supervisors' salaries	229,257	-	-	229,257
Buyouts and outside purchases	104,261	99,922	-	204,183
Equipment depreciation	197,198	-	-	197,198
Lease	151,257	9,600	-	160,857
Repairs and maintenance	155,138	1,524	(3,660)	153,002
Plates and negatives	130,388	-	-	130,388
Ink	116,856	-	-	116,856
Shipping wages	97,494	-	-	97,494
Retirement plan expenses	49,590	-	-	49,590
Envelopes	40,827	-	-	40,827
Carbon products	10,241	-	-	10,241
Net freight expense	6,147	3,611	-	9,758
Truck expenses	2,184	-	-	2,184
Materials	-	1,910	-	1,910
Vehicle depreciation	1,462	-	-	1,462
Copy paper	92	-	-	92
Purchase discounts	(108,616)	(107)	-	(108,723)
Total goods available for sale	11,454,627	252,750	(3,660)	11,703,717
Less ending inventories	(1,733,922)	-	-	(1,733,922)
Cost of goods sold	\$ <u>9,720,705</u>	<u>252,750</u>	<u>(3,660)</u>	<u>9,969,795</u>

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Highland Computer Forms, Inc.
Divisional Schedules of Operating Expenses
Year Ended December 31, 2022

	HCF Division	G. Fordyce Division	Eliminating Entries	Total
Office salaries	\$ 775,051	-	-	775,051
Insurance	144,638	-	-	144,638
Professional fees	120,304	-	-	120,304
Administrative salaries	119,896	-	-	119,896
General taxes	96,595	-	-	96,595
Bank and payroll service charges	76,511	36	-	76,547
Caretaking expenses	76,067	-	-	76,067
Depreciation	59,433	2,188	-	61,621
Payroll taxes	51,840	-	-	51,840
Office supplies	33,223	1,199	-	34,422
Telephone and internet	33,368	-	-	33,368
Advertising	25,516	-	-	25,516
Travel and entertainment	23,791	919	-	24,710
Office repairs and maintenance	24,119	-	-	24,119
Retirement plan expenses	23,252	-	-	23,252
Employee relations	8,928	-	-	8,928
Postage	5,824	60	-	5,884
Training and education	1,834	-	-	1,834
Selling expenses	571	-	-	571
Dues and subscriptions	298	160	-	458
Charitable contributions	241	-	-	241
Bad debt expense	57	-	-	57
Miscellaneous expenses	68	93	-	161
	<u>\$ 1,701,425</u>	<u>4,655</u>	<u>-</u>	<u>1,706,080</u>

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Highland Computer Forms, Inc.
Divisional Balance Sheets
December 31, 2021

Assets

	HCF Division	G. Fordyce Division	Eliminating Entries	Total
Current assets:				
Cash and cash equivalents	\$ 49,473	174,088	-	223,561
Accounts receivable, trade	1,033,535	105,329	-	1,138,864
Accounts receivable, other	21,353	-	(19,808)	1,545
Inventories	1,107,863	612	-	1,108,475
Employee retention credits receivable	1,352,277	-	-	1,352,277
Prepaid expenses	4,863	-	-	4,863
	<u>3,569,364</u>	<u>280,029</u>	<u>(19,808)</u>	<u>3,829,585</u>
Property, plant and equipment:				
Land	100,000	-	-	100,000
Buildings	500,000	-	-	500,000
Leasehold improvements	1,001,669	-	-	1,001,669
Machinery and equipment	6,638,006	-	-	6,638,006
Vehicles	127,387	-	-	127,387
Furniture, fixtures and office equipment	209,970	-	-	209,970
	<u>8,577,032</u>	<u>-</u>	<u>-</u>	<u>8,577,032</u>
Less accumulated depreciation	<u>6,381,778</u>	<u>-</u>	<u>-</u>	<u>6,381,778</u>
	<u>2,195,254</u>	<u>-</u>	<u>-</u>	<u>2,195,254</u>
Other assets:				
Cash value of life insurance	168,892	-	-	168,892
Deferred financing fees, net	20,806	-	-	20,806
Goodwill	10,000	-	-	10,000
Deposits	9,913	-	-	9,913
	<u>209,611</u>	<u>-</u>	<u>-</u>	<u>209,611</u>
	<u>\$ 5,974,229</u>	<u>280,029</u>	<u>(19,808)</u>	<u>6,234,450</u>

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Liabilities and Stockholder's Equity

	HCF Division	G. Fordyce Division	Eliminating Entries	Total
Current liabilities:				
Line of credit	\$ 548,922	-	-	548,922
Long-term debt, current portion	17,201	-	-	17,201
Capital lease, current portion	8,154	-	-	8,154
Paycheck Protection Program loan	688,137	-	-	688,137
Accounts payable, trade	642,630	20,669	(19,808)	643,491
Accrued payroll and related costs	346,244	-	-	346,244
Accrued rent, affiliates	140,500	-	-	140,500
Accrued taxes	41,624	-	-	41,624
Customer deposits	-	73,860	-	73,860
	<u>2,433,412</u>	<u>94,529</u>	<u>(19,808)</u>	<u>2,508,133</u>
Long-term debt:				
Note payable, affiliate	193,786	-	-	193,786
Long-term debt, net of current portion	451,915	-	-	451,915
Capital lease, net of current portion	10,164	-	-	10,164
	<u>655,865</u>	<u>-</u>	<u>-</u>	<u>655,865</u>
Stockholder's equity:				
Common stock	1,000	-	-	1,000
Additional paid-in capital	549,000	-	-	549,000
Retained earnings	2,334,952	185,500	-	2,520,452
	<u>2,884,952</u>	<u>185,500</u>	<u>-</u>	<u>3,070,452</u>
	<u>\$ 5,974,229</u>	<u>280,029</u>	<u>(19,808)</u>	<u>6,234,450</u>

Highland Computer Forms, Inc.
Divisional Income Statements
Year Ended December 31, 2021

	HCF Division	G. Fordyce Division	Eliminating Entries	Total
Sales, net	\$ 10,246,051	657,231	(16,132)	10,887,150
Other income	<u>279,481</u>	<u>-</u>	<u>-</u>	<u>279,481</u>
Total revenues	10,525,532	657,231	(16,132)	11,166,631
Cost of goods sold	<u>8,796,258</u>	<u>537,728</u>	<u>-</u>	<u>9,333,986</u>
Gross profit	1,729,274	119,503	(16,132)	1,832,645
Operating expenses	<u>1,568,681</u>	<u>15,723</u>	<u>(16,132)</u>	<u>1,568,272</u>
Income from operations	160,593	103,780	-	264,373
Other income (expense):				
Interest expense	(88,472)	-	-	(88,472)
Debt forgiven	862,310	-	-	862,310
Employee retention credits	1,352,277	-	-	1,352,277
Gain on disposal of fixed assets	<u>1,500</u>	<u>-</u>	<u>-</u>	<u>1,500</u>
	<u>2,127,615</u>	<u>-</u>	<u>-</u>	<u>2,127,615</u>
Net income	\$ <u><u>2,288,208</u></u>	<u><u>103,780</u></u>	<u><u>-</u></u>	<u><u>2,391,988</u></u>

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Highland Computer Forms, Inc.
Divisional Schedules of Cost of Goods Sold
Year Ended December 31, 2021

	HCF Division	G. Fordyce Division	Eliminating Entries	Total
Beginning inventories	\$ 683,140	-	-	683,140
Purchases and other costs:				
Paper	4,920,814	-	-	4,920,814
Production and collator wages	1,120,001	115,109	-	1,235,110
Indirect labor	563,755	-	-	563,755
Buyouts and outside purchases	112,637	389,482	-	502,119
Health insurance	393,068	-	-	393,068
Supplies	359,935	9,548	-	369,483
Utilities	253,327	-	-	253,327
Equipment depreciation	208,008	-	-	208,008
Cartons	205,064	-	-	205,064
Supervisors' salaries	198,693	-	-	198,693
Payroll taxes	198,502	-	-	198,502
Repairs and maintenance	188,467	5,850	-	194,317
Lease	147,229	9,600	-	156,829
Ink	125,195	-	-	125,195
Plates and negatives	121,256	-	-	121,256
Shipping wages	100,963	-	-	100,963
Envelopes	44,298	-	-	44,298
Retirement plan expenses	39,566	-	-	39,566
Net freight expense	17,143	4,140	-	21,283
Materials	-	4,936	-	4,936
Carbon products	2,163	-	-	2,163
Vehicle depreciation	1,538	-	-	1,538
Copy paper	135	-	-	135
Truck expenses	111	-	-	111
Purchase discounts	(100,887)	(325)	-	(101,212)
Total goods available for sale	9,904,121	538,340	-	10,442,461
Less ending inventories	(1,107,863)	(612)	-	(1,108,475)
Cost of goods sold	\$ <u>8,796,258</u>	<u>537,728</u>	<u>-</u>	<u>9,333,986</u>

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Highland Computer Forms, Inc.
Divisional Schedules of Operating Expenses
Year Ended December 31, 2021

	HCF Division	G. Fordyce Division	Eliminating Entries	Total
Office salaries	\$ 683,480	-	-	683,480
Professional fees	196,583	1,231	-	197,814
Administrative salaries	115,656	-	-	115,656
Insurance	102,067	-	-	102,067
Bank and payroll service charges	99,314	36	-	99,350
Caretaking expenses	59,648	2,305	(418)	61,535
Depreciation	59,486	-	-	59,486
Payroll taxes	48,608	-	-	48,608
General taxes	44,146	-	-	44,146
Telephone and internet	38,805	-	-	38,805
Office supplies	26,639	1,229	-	27,868
Travel and entertainment	23,622	1,742	-	25,364
Retirement plan expenses	21,563	-	-	21,563
Employee relations	12,153	-	-	12,153
Office repairs and maintenance	25,649	-	(15,714)	9,935
Employee bonuses	-	8,815	-	8,815
Bad debt expense	5,840	-	-	5,840
Training and education	3,033	-	-	3,033
Postage	1,339	205	-	1,544
Charitable contributions	566	-	-	566
Dues and subscriptions	299	160	-	459
Selling expenses	129	-	-	129
Miscellaneous expenses	56	-	-	56
	<u>\$ 1,568,681</u>	<u>15,723</u>	<u>(16,132)</u>	<u>1,568,272</u>

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